

Sturdy Provision and Capital Buffer

Federal Bank's numbers were above our estimates on the profitability front mainly due to lower provisions, though higher opex and drop in NIM weighed on operating performance. Other income was adversely impacted by lower treasury gains and loss on revaluation of security receipts. The bank's Core Fee Income of Rs 4.53 Bn, however, increased by 25% YoY & 10% QoQ. Meanwhile, asset quality of the bank has been resilient and shown meaningful improvement, with GNPA at 2.8% (vs 3.06% QoQ) & NNPA at 1.05% (vs 0.96% QoQ). Besides, strong collection mechanism helped ensure robust recovery/upgradation of Rs 3.47 Bn.

- NII came in at INR 15.25 Bn, -0.9% QoQ / + 7.4% YoY and 4% below our est.
- Net Income came in at INR 19.90 Bn, -1.6% QoQ / + 4.9% YoY and 6% below our est.
- Opex came in at INR 11.92 Bn, + 7.5% QoQ / + 19.1% YoY and 5.7% above our est.
- PPOP came in at INR 7.98 Bn, -12.7% QoQ / -11% YoY and 19% below our est.
- Provisions came in at INR 0.75 Bn, -64.8% QoQ / -70.4% YoY and -72% below our est.
- PAT came in at INR 5.41 Bn, + 3.6% QoQ / + 13.1% YoY and 1.2% above our est.
- EPS stood at INR 2.6 vs INR 2.5 / INR 2.4 in Q3FY22 / Q4FY21 respectively.

Valuation and outlook

We like Federal bank for its healthy liability franchise (94% retail Deposit), increasing retail focus, strong fee income, and prudent provisioning. We also take comfort from its tier-1 capital ratio (14.43%) and healthy core operating profit, which provide an additional buffer to cushion any adverse effect of sudden spikes in slippages. We expect the bank's RoA/RoE to be around 1%/11.8% in FY23 and improved to 1.1%/12.9% in FY24. At CMP the stock trades at 1x its FY23E ABV and 0.9x its FY24E ABV. We assign a BUY rating with a Target Price of Rs 113/share, valuing the stock at a target multiple of 1.1x FY24E ABV.

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	55.3	59.6	69.4	81.4
Net profit	15.9	18.9	23.4	28.4
Net worth	161	188	209	233
Adj BVPS	73	83	92	103
EPS (Rs)	8.0	9.0	11.1	13.5
P/ABV (x)	1.2	1.1	1.0	0.9
P/E (x)	11.4	10.1	8.1	6.7

Source: Dalal & Broacha Research, Company



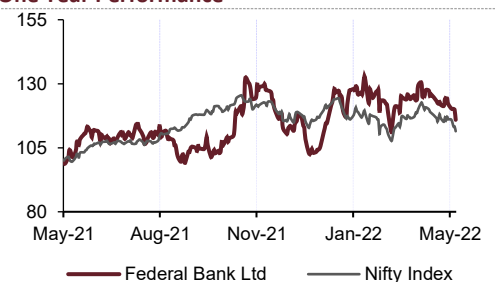
Rating	TP (Rs)	Up/Dn (%)
BUY	113	24

Market data

Current price	Rs	91
Market Cap (Rs.Bn)	(Rs Bn)	192
Market Cap (US\$ Mn)	(US\$ Mn)	2,512
Face Value	Rs	2
52 Weeks High/Low	Rs	107.65 / 77.2
Average Daily Volume	('000)	17,242
BSE Code		500469
Bloomberg		FB.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	-	-
Public	100	100
Total	100	100

Source: Bloomberg

Avinash Tanawade

+91 22 67141449

avinash.tanawade@dalal-broacha.com

Financial Highlights

- Federal Bank's loan book grew by 9.9% YoY/3% QoQ, mainly supported by Agri segment (20% YoY/4% QoQ), Business Banking (15% YoY/6% QoQ), Commercial Banking (12% YoY/3% QoQ), Retail segment (6% YoY/5% QoQ) and Corporate Banking (7% YoY/-0.2% QoQ). The management expects loan book growth to accelerate going forward (targeting a credit growth of 15% for FY23), as the bank is aggressively expanding into some high-yielding segments i.e., business banking and vehicle financing etc. Management expects that a better business mix should drive up margins to over 3.25% in FY23 (vs 3.16% in Q4FY22). On rate structure, ~45% of the bank's loan portfolio is linked to repo, 18% is linked to MCLR and ~27% is fixed rate book.
- Operational efficiency deteriorated, with cost to income ratio stood at 59.9% (+509 bps QoQ), backed by higher opex growth of 7.5% QoQ vs drop in net income (NII + other income) of 1.6% QoQ. Management expects this ratio to reach ~50% by end FY23 and decline further ~48% by end FY24. Employee expenses up by 21.3% YoY/9.3% QoQ, due to one-off pension related expenses of Rs 1.54 Bn. Management expects these expenses to moderate (quarterly run rate of ~ Rs 5 Bn vs Rs 6.37 Bn in Q4FY22) in FY23. Other expenses up by 16.7% YoY/ 5.5% QoQ.
- On liabilities, the bank's deposits grew by 5.2% YoY/3.6% QoQ in Q4FY22 led by CASA growth of 19% YoY/4.3% QoQ taking CASA ratio to all time high level of 36.94% (Vs 32.7% YoY). The bank focuses on building a stable and granular deposit base, with retail deposits constituting 94% of total deposits. Moreover, the bank is well capitalised, with CAR stood at 15.77% (vs 14.37% QoQ), of which Tier I capital was 14.43% (vs 13.52% QoQ).
- Fresh slippages declined from Rs 4.42 Bn to Rs 3.58 Bn sequentially, while recoveries & upgrades were at Rs 4.17 Bn (vs 4.91% QoQ). Repayment behavior of restructured book is better than the forecast owing to improved collection efficiency and quality of the book. Total stressed book trending down and is at 2.36% of average total assets (vs 2.61% QoQ). Bank carries a healthy PCR of 66%, which should contain incremental credit costs in near term. Bank's Credit cost for FY22 was at a new low at 45 bps.
- Despite the absorption of family pension cost, the ROA and ROE have met the guided levels of 1.03% and 11.93% respectively. Management is targeting ROA of 1.2% to 1.25% by FY23.
- Federal Bank is focusing on FinTech partnerships (payments, neobanks, etc.), which slowly gaining ground and will likely to drive better business productivity on both sides of the balance sheet. On the lending side, 40% to 50% of the incremental lending in some products will come through these partnerships. Disbursals through Fintech enabled Gold & Micro lending platforms crossed Rs.65.50 Bn in Q4FY22. Cost structure for ~95% of FinTech relationships are variable in nature. Efficiency will likely improve in coming years, with cost to income ratio for Fintech partnerships to improve from ~70% in FY22 to ~60% in FY23 and 45% or better in FY24.

Quarterly Financials

Rs Mn	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
Interest Earned	33663	33557	33793	34426	34832
Interest Expended	19460	19373	18998	19037	19580
NII	14204	14184	14794	15389	15252
Other Income	4775	5518	4917	4842	4650
Net Income	18979	19702	19711	20231	19902
Opex	10007	9334	10590	11088	11920
PPOP	8973	10368	9121	9143	7982
Provisions	2545	5435	2926	2140	752
PBT	6428	4934	6195	7003	7230
Tax	1650	1261	1592	1786	1824
PAT	4778	3673	4603	5217	5405
Balance Sheet					
Net-worth	161245	164880	177270	182520	187938
Deposits	1726445	1693930	1719948	1754320	1817006
Advances	1318786	1297650	1344046	1407430	1449283
Growth (%)					
NII	16.8	9.4	7.2	7.1	7.4
PPOP	-6.5	11.2	-3.6	-4.4	-11.0
PAT	58.6	-8.4	49.6	29.1	13.1
Deposits	13.4	9.3	9.7	8.5	5.2
Advances	7.9	7.0	9.4	12.1	9.9
Efficiency (%)					
GNPA	3.4	3.5	3.2	3.1	2.8
NNPA	1.2	1.2	1.1	1.0	1.0
PCR	65.9	65.7	66.2	66.6	66.3
Credit Cost (annualized)	0.8	1.7	0.9	0.6	0.2
C/I Ratio	52.7	47.4	53.7	54.8	59.9
CASA	33.8	34.8	36.2	36.7	36.9
NPA Composition					
Retail	27	28	27	27	27
Agri	16	18	19	19	22
Business banking	18	20	20	21	22
Wholesale	40	34	34	33	30

Source: Company, D&B Research

Financials

P&L (Rs Bn)	FY21	FY22	FY23	FY24	Ratios	FY21	FY22	FY23	FY24
Interest income	137.6	136.6	158.8	189.9	Growth (%)				
Interest expense	82.2	77.0	89.4	108.5	NII	19.0	7.7	16.4	17.3
NII	55.3	59.6	69.4	81.4	PPOP	18.6	-1.1	17.5	20.2
Non-interest income	19.6	20.9	23.2	27.1	PAT	3.1	18.8	23.9	21.4
Net revenues	74.9	80.5	92.6	108.5	Advances	7.9	9.9	14.7	18.2
Operating expenses	36.9	42.9	48.5	55.4	Deposits	13.4	5.2	14.3	17.7
PPOP	38.0	37.6	44.1	53.0	Spread (%)				
Provisions	16.6	12.2	12.8	15.0	Yield on Funds	7.7	6.9	7.3	7.6
PBT	21.4	25.4	31.3	38.0	Cost of Funds	4.8	4.1	4.3	4.5
Tax	5.5	6.5	7.9	9.6	Spread	2.9	2.9	3.0	3.1
PAT	15.9	18.9	23.4	28.4	NIM	3.1	3.0	3.2	3.3
					Asset quality (%)				
Balance sheet	FY21	FY22	FY23	FY24	Gross NPAs	3.4	2.8	2.5	2.4
Share capital	3.99	4.21	4.21	4.21	Net NPAs	1.2	1.0	0.9	0.9
Reserves & surplus	157	184	204	229	Provisions	66	66	65	63
Net worth	161	188	209	233	Return ratios (%)				
Deposits	1726	1817	2076	2443	RoE	10.4	10.8	11.8	12.9
Borrowings	91	154	136	133	RoA	0.8	0.9	1.0	1.1
Other liability	35	51	46	49	Per share (Rs)				
Total liabilities	2014	2209	2467	2859	EPS	8	9	11	14
Fixed assets	4.9	6.3	6.6	6.8	BV	81	89	99	111
Investments	372	392	451	529	ABV	73	83	92	103
Loans	1319	1449	1662	1964	Valuation (x)				
Cash	196	210	188	197	P/E	11.4	10.1	8.1	6.7
Other assets	122	152	160	163	P/BV	1.1	1.0	0.9	0.8
Total assets	2014	2209	2467	2859	P/ABV	1.2	1.1	1.0	0.9

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time. SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT Telecom Media
Mr. Avinash Tanawade	Sr. Analyst	avinash.tanawade@dalal-broacha.com	022-67141449	BFSI
Mr, Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141444	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | Email: equity.research@dalal-broacha.com